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PAY ALL SUBSIDIES VIA DBT

► Free and cheap power and subsidised fertilisers and seeds are some subsidies that are transferred to farmers. But such transfers distort the use power and fertilisers. Free power has led to the depletion of water table in Punjab while subsidised urea has led to its overuse resulting in soil degradation. Transferring a fixed amount directly to farmers' bank accounts (like in PM Kisan Samman Nidhi Scheme) in lieu of these subsidies can lead to a more efficient and appropriate use of resources.



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REPLACE MSP WITH FARM INCOME INSURANCE

► Sections of farmers have demanded a statutory minimum support price (MSP) for their crops to ensure a minimum return on investment. While that looks difficult to execute, the government can offer farmers comprehensive insurance to protect them from income losses caused by natural calamities, pests and diseases, while parallelly ensuring efficient markets that pay remunerative prices. The coverage of existing schemes such as the PM Fasal Bima Yojana needs to be increased and more schemes introduced.

ENSURE CLEAR LAND OWNERSHIP TITLES

► Clear titles establish ownership of land and help reduce disputes with other claimants. They also ensure that the rightful owners get compensation when land is acquired by the government for development work. Clear titles are necessary to enhance farmers' ability to secure lower cost institutional credit (as farmers can offer land as collateral), and to access certain government schemes. Therefore, land record digitalisation, already under way, needs to be sped up and records stored in blockchains.

